

Professorship of Corporate Law
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Introduction to Business Law

Contract Law II + III

Summer Term 2026



Contract Law II + III

(1) Revision questions

(2) Rescission

Case 1a) Rescission due to error

Case 1b) Damage claim

Case 2a) Rescission due to deceit

Case 2b) Rescission due to duress (full text)

(3) Revocation

Case 3a) Revocation § 323 I BGB

Case 3b) Specification of additional period for performance

Case 4 Revocation § 324 BGB

(4) Withdrawal

Case 5

What are the requirements for effective rescission?

1. Ground for rescission (and causality for issued DoI)



2. Declaration of rescission, § 143 I BGB



3. Time limit for rescission, § 121 I / § 124 I BGB

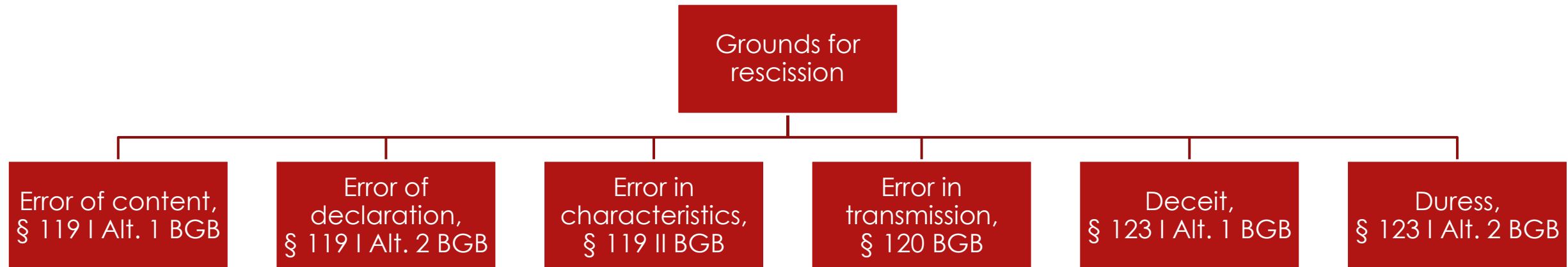


4. No exclusion, esp. § 144 I BGB



5. Effects, § 142 I BGB

What are the requirements for effective rescission?



Revision questions lecture

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What are the differences between the consequences of rescission and revocation?

Effects of rescission § 142 I BGB

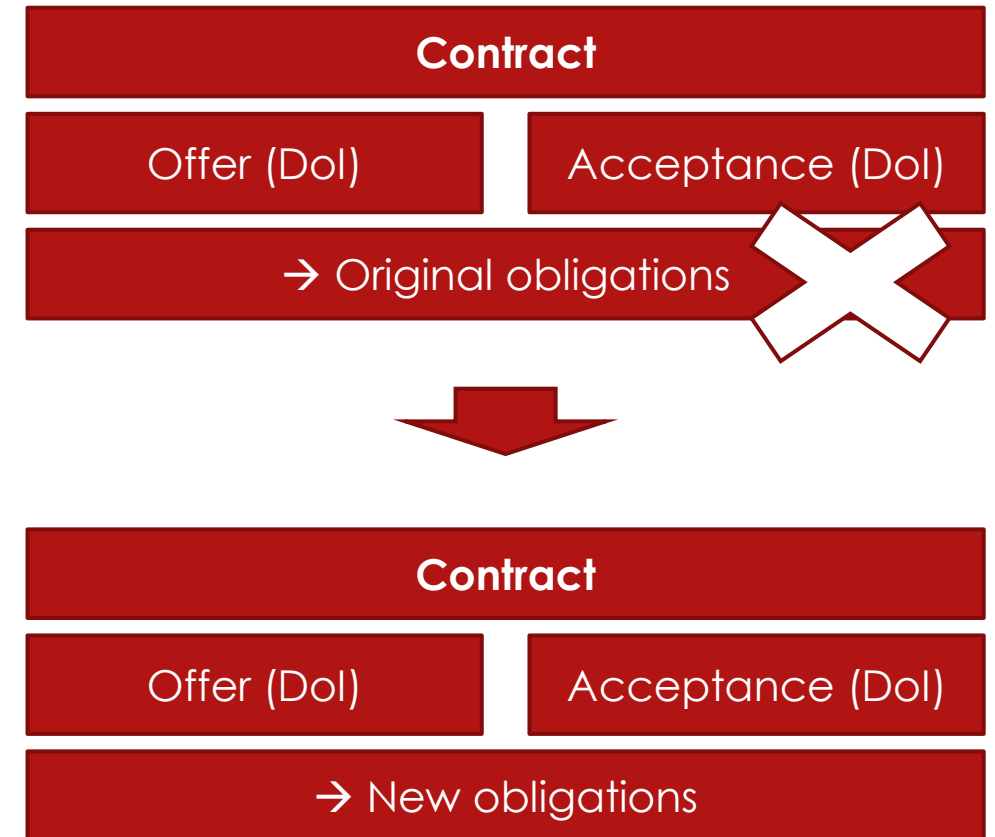
- Aim to eradicate the DoI
- Effect ex tunc = “from the start”
⇔ Effect ex nunc = “from now on”
- Void DoI can't form basis of contract
→ No contract



What are the differences between the consequences of rescission and revocation?

Effects of revocation § 346 I BGB

- “performance received and emoluments taken are to be returned”
- Contract remains in force, but the performance obligations change



Revision questions lecture

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What are the differences between the consequences of rescission and revocation?



Rescission:

No contract (ex tunc)



Revocation:

Contract with new obligations

Case 1 – Facts

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Hotel owner (H) intends to buy 400 rolls of toilet paper for her hotel. She writes an email to wholesaler (W). Unfortunately, she is a little distracted while putting in the order. Her email states that she wants to buy 40,000 rolls of toilet paper. W is pleased, sends a quick confirmation email to H and rents a truck for the delivery.

When checking her sent emails a few hours later, H discovers her mistake. She gives W a call immediately and explains the situation. H makes it clear to W that she does not want 40,000 rolls of toilet paper.

Questions:

- a) Can H rescind her offer?
- b) Can W claim damages for the truck's rent?

Case 1a) – Facts

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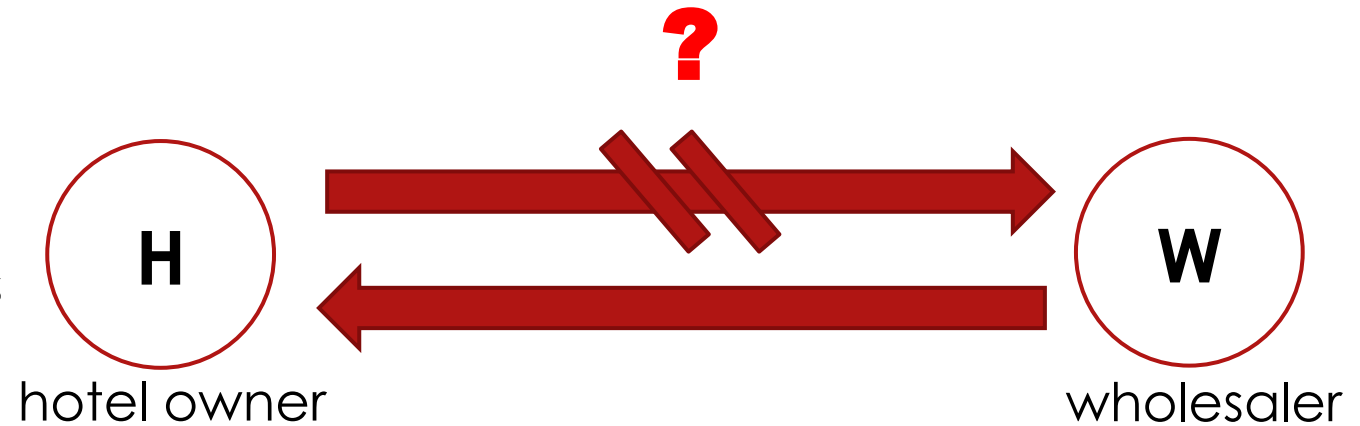
- a) Can H rescind her offer?
- b) Can W claim damages for the truck's rent?

Problem?

Case 1a) – Sketch

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Intended amount: 400 rolls
Declared amount: 40,000 rolls



A. Rescission of offer by H

I. Offer by H: E-mail (+)

- H places an order by e-mail
- Objective understanding of the recipient: 40,000 rolls
- Divergent will is irrelevant for the formation of the contract

II. Rescission ground §§ 119 et seqq. BGB and causality (+)

1. Rescission ground (+)

Error = Unconscious divergence between what is objectively explained and what is subjectively desired

a) Error in content (§ 119 I Alt. 1 BGB) (-)

= Person making the declaration explains what is intended but is mistaken about its meaning

- Meaning of 40,000 rolls is clear.
- H knew what she was ordering (toilet paper), just not how much due to mis-typing.
- H was not mistaken about the meaning of the DoI

b) Error in declaration (§ 119 I Alt. 2 BGB) (+)

= Person making the declaration uses a different explanatory sign than what (s)he intended to use

- 40,000 rolls instead of 400 rolls
- Typical case of mistyping

c) Interim result: Rescission ground (+)

2. Causality of error for declaration of DoI (§ 119 I BGB) (+)

= An error is causal, if it is to be assumed that the person would not have made the declaration with knowledge of the real facts.

- Error in declaration = Mistyping
- Declaration of intent = Offer for 40,000 rolls
- Without mistyping H would not have ordered 40,000 rolls, but 400 rolls

3. Interim result: Rescission ground and causality (+)

III. Valid declaration of rescission (§ 143 BGB) (+)

1. Necessary content (+)

- H explains her mistake

2. Against right addressee of rescission declaration (§ 143 II BGB) (+)

- H declares it to her contractual partner W

3. Interim result: Valid declaration (+)

IV. Declaration within time limit (+)

1. Time span begins in case of an error with knowledge of rescission ground (§ 121 I 1 BGB) (+)

- H discovers her error a few hours after sending the e-mail

2. Declaration without culpable delay (§ 121 I 1 BGB) (+)

- H explains the situation to W immediately after discovering her error

3. Interim result: Within time limit (+)

IV. Result: Rescission of offer by H (+)

H's offer is void ex-tunc due to rescission (§ 142 I BGB).

Case 1b) – Facts

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Hotel owner (H) intends to buy 400 rolls of toilet paper for her hotel. She writes an email to wholesaler (W). Unfortunately, she is a little distracted while putting in the order. Her email states that she wants to buy 40,000 rolls of toilet paper. W is pleased, sends a quick confirmation email to H and rents a truck for the delivery.

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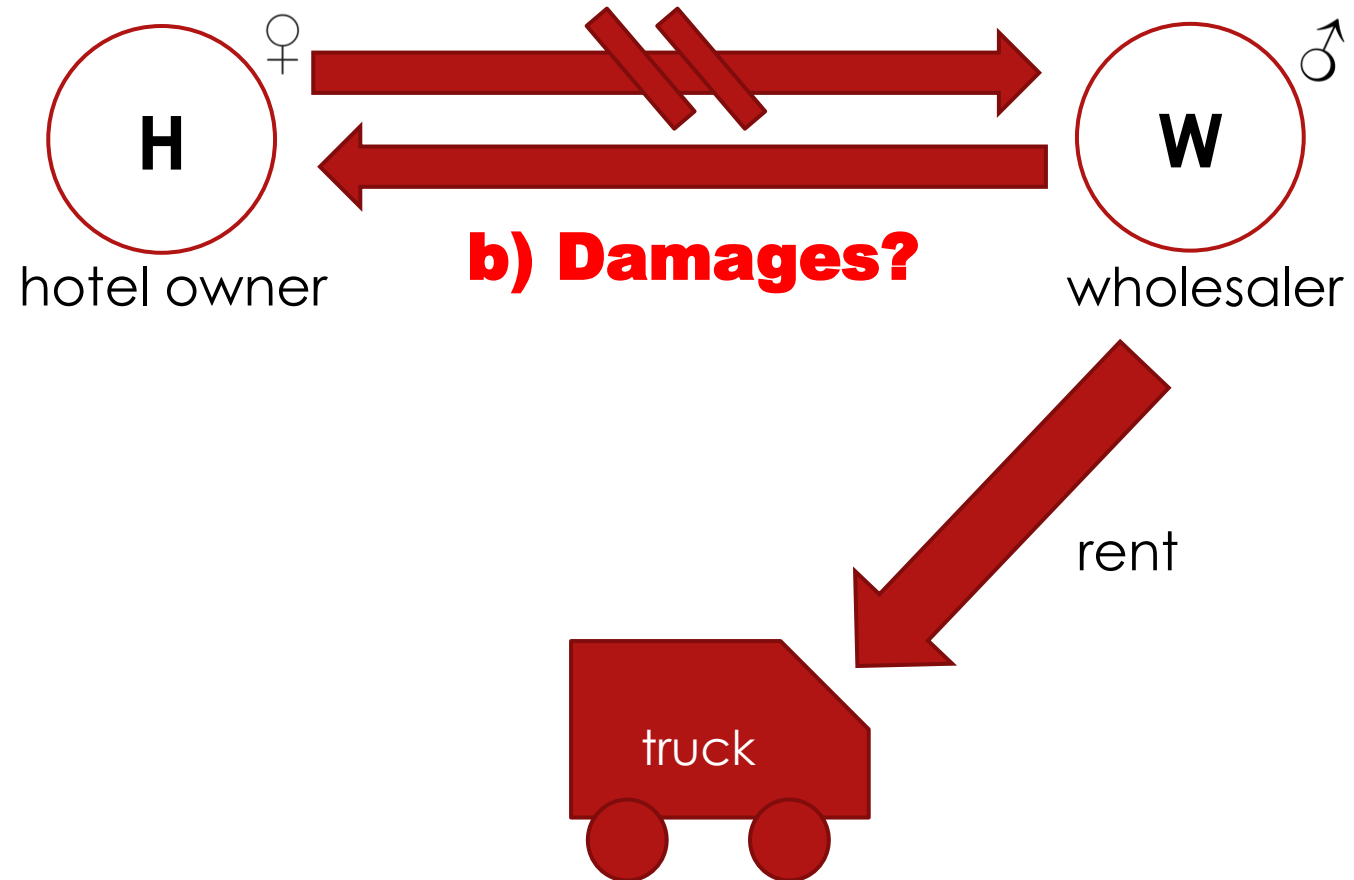
Questions:

- a) Can H rescind her offer?
- b) Can W claim damages for the truck's rent?

Problem?

Case 1b) – Sketch

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§ 122 BGB

Liability in damages of the person declaring rescission

- (1) If a **declaration of intent** is void under § 118, or **rescinded under §§ 119** and 120, the **person declaring** must, if the declaration was to be made to another person, **pay damages** to this person, or failing this to any third party, for the damage that the other or the third party **suffers as a result of his relying on the validity of the declaration; but not in excess of the total amount of the interest which the other or the third party has in the validity of the declaration.**
- (2) **A duty to pay damages does not arise** if the injured person knew the reason for the voidness or the voidability or did not know it as a result of his negligence (ought to have known it).

A. Claim payment of damages (§ 122 I BGB)

I. Rescission pursuant to § 119 BGB (+)

- Rescission of purchase agreement on grounds of § 119 I 2. Alt BGB

II. Entitlement to claim (+)

- W is recipient of the declaration and entitled to claim for damages in accordance with § 122 I BGB

III. No exclusion of damage claims (§ 122 II BGB) (+)

- When the recipient knew about the “error”, he had no reason to trust the DoI
- W rented the truck because he had no idea about H’s error

IV. Extent of damage claims (+)

= Trust damage (negative interest)

→ The injured party must be placed in the position (s)he would be in if (s)he had not placed trust in the validity of the declaration, i.e. if (s)he had never heard of the transaction.

- Trusting in H's order W rented a truck, which caused rental costs

B. Result: Claim (+)

W has a claim for payment of damages amounting to the rental costs for the truck against H pursuant to § 122 I BGB.

Case 2a) – Facts

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Retailer (R) is negotiating with wholesaler (W) the delivery of a specific shoe model. R and W have done business with each other for more than a decade. R knows about W's long-standing policy "to always match the lowest price of other wholesalers".

While negotiating, W offers the shoes for 60€ a pair. It is W's view that this is a good offer, so she does not see much room for further negotiation. R replies that she has received another offer from W's competitor (C) for 55€ a pair. However, in fact, no such offer was ever made by C. R lets W know that she is considering to replace W as her supplier if she cannot match the price (of 55€). W, who has known R as trustworthy for years, has no reason to believe that R's story might not be true. Grudgingly, she agrees to lower the price due to her long-standing policy.

Question a): Did R and W conclude a contract at a price of 55€/pair?

Case 2a) – Facts

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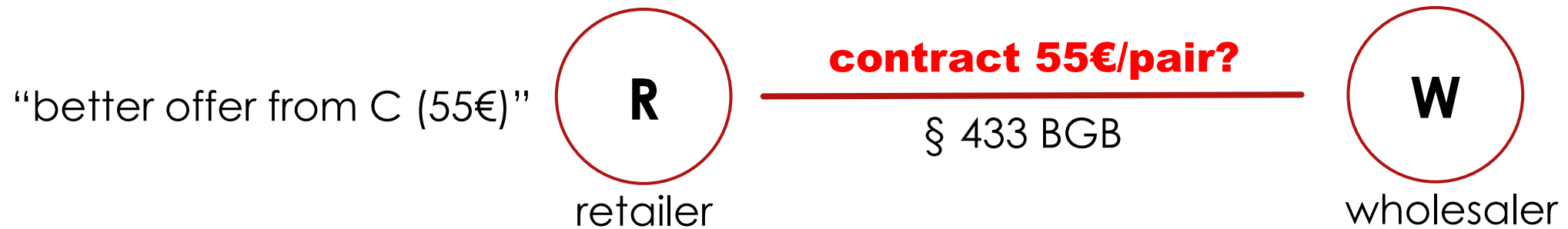
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Question a): Did R and W conclude a contract at a price of 55€/pair?

Problem?

Case 2a) – Sketch

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A. Conclusion of a purchase agreement (§ 433 BGB)

- Price of 55€/pair

I. R: Offer of 55€/pair (+)

- R lets W know that she expects the same conditions as the alleged deal from C

II. W: Acceptance

1. Acceptance (+)

- W agrees to lower price

2. Validity of Acceptance

a) Rescission grounds: Deceit § 123 I Alt. 1 BGB

aa) Act of deceit (+)

= The intentional creation or maintenance of an error about internal or external facts

- R tells W about the alleged offer
- W thinks there is a lower priced offer with which she must compete

bb) Fraudulent intent (+)

= The will to deceive, whereby any form of intent is sufficient

- R wants to achieve a lower price

cc) Unlawfulness (+)

- The unlawfulness is generally indicated by the deceit

dd) Causality (double causality requirement)

(1) Causality of deceit for error (+)

- Without the deceit W would not have thought that C made a better offer

(2) Causality of the error for the declaration of intent made (+)

- Without thinking that C made a better offer, W would not have offered the lower price

ee) Interim result: Deceit § 123 I Alt. 1 BGB (+)

Case 2a) – Solution

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b) Valid declaration of rescission § 143 BGB

- Declaration by W to contractual partner R has not yet been made
- **Interim result:** Can still be declared

c) Rescission time limit (§ 124 BGB)

aa) Time span begins in case of a deceit with its discovery (§ 124 II Alt. 1 BGB)

- W didn't discover the deceit yet

bb) One year limit for declaration (§ 124 I BGB)

cc) Interim result: Can still be declared within time limit

Case 2a) – Solution

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d) Result:

If W doesn't declare rescission in time	If W declares rescission in time
Rescission (-)	Rescission (+)
Valid acceptance (+)	Valid acceptance (-)
Contract (+)	Contract (-)

Case 2b) – Facts

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W finds out about the fake offer. Furiously, she confronts R and tells her that she "will consider to not continue their business relationship in the future if R does not make up for this by buying the shoes for at least 65€ a pair". According to W, the additional five euros (compared to the original offer of 60€) serve to punish R. R is worried about losing W as a supplier and agrees to the contract for 65€.

After two weeks, R regrets her decision and thinks that it was inequitable of W to bully her into the new contract terms.

Question b): Did R and W conclude a contract?

Case 2b) – Facts

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After two weeks, R regrets her decision and thinks that it was inequitable of W to bully her into the new contract terms.

Question b): Did R and W conclude a contract?

Problem?

Case 2b) – Solution (notes)

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A. Conclusion of a purchase agreement (§ 433 BGB)

I. W: Offer of 65 €/pair (+)

- W demanded 65€/pair for the shoe model from R

II. R: Acceptance

1) Acceptance (+)

- R agrees to higher price

2) Validity of Acceptance (+)

Case 2b) – Solution (notes)

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a) Rescission ground: Duress § 123 I Alt. 2 BGB ()

aa) Duress (+)

= Duress is the prospect of a future evil, the occurrence of which the person making the threat claims to influence

- W announces R the end of their successful business relationship if R does not respond to the offer

bb) Unlawfulness

= A duress can arise from:

- the **purpose** for which it was made (e.g. insurance fraud)
- the **threatened evil** as such (e.g. to kidnap someone)
- the **combination** of the threat to the purpose pursued (= means to purpose relation)

Case 2b) – Solution (notes)

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(1) The purpose for which it was made (-)

- W wants to achieve a better price for the shoes

(2) The threatened evil as such (-)

- W threatened R with ending their long and successful business relationship

(3) The combination of the threat to the purpose pursued (-)

Unlawful: If using this threat to lead to the expected result is against the sense of decency of fair-minded people

- A retailer is not bound to another retailer if (s)he considers the prices to be unattractive
- (S)He can announce the termination of the contractual relationship in case they cannot agree on the price
- W is a normal supplier and not a dominating company that R needs to rely on to run her business

(4) Interim result: Unlawfulness (-)

Case 2b) – Solution (notes)

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III. Result:

Rescission ground § 123 I Alt. 2 BGB (-)

Rescission of acceptance (-)

Offer and acceptance (+)

Contract (+)

Case 2b) – Solution (full text)

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A. R and W could have concluded a contract, more precisely a purchase agreement pursuant to § 433 BGB. This requires two matching declarations of intent, offer and acceptance pursuant to §§ 145 et seqq BGB.

I. There must be an offer. An offer is a declaration of intent by which the conclusion of the contract is requested to another party in such a way that the conclusion of the contract only depends on the consent of the recipient W demanded 65€/pair for the shoe model from R. This is to be considered as an offer.

II. An acceptance by W must be given.

1) An acceptance is a declaration of intent by which a person expresses his or her agreement with an offer. R agreed to a higher price. So she accepted the offer.

2) It is questionable, if this acceptance is valid. R could have rescinded her acceptance pursuant to § 142 I BGB in conjunction with § 123 I Alt. 2 BGB. To examine is, if she with a rescission ground, declared the rescission to the correct addressee within the period for rescission.

a) Prerequisite is a rescission ground. A possible rescission ground could be duress (§ 123 I Alt. 2 BGB).

aa) Duress is the prospect of a future evil, the occurrence of which the person making the threat claims to influence. W announces R the end of their successful business relationship if R does not respond to the offer. This would be very unpleasant for retailer R. Therefore duress is given.

Case 2b) – Solution (full text)

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bb) The duress must be unlawful. Unlawfulness of a duress can arise from the purpose for which it was made, the threatened evil as such or the combination of the threat to the purpose pursued.

(1) The purpose could be unlawful. W wanted to achieve a better price for the shoes. This is a perfectly legitimate objective in trade. The purpose is not unlawful.

(2) The threatened evil as such could be unlawful. W threatened R with ending their long and successful business relationship. This is something that must always be reckoned with between trading partners. Unlawfulness of the threatened evil is not given.

(3) Finally, the combination of the threat to the purpose pursued could be unlawful. This means to purpose relation is unlawful if using this threat to lead to the expected result is against the sense of decency of fair-minded people. A retailer is not bound to another retailer, if (s)he considers the prices to be unattractive. (S)He can announce the termination of the contractual relationship in case they cannot agree on the price (s)he wants. On top of that, W is a normal supplier and not a dominating company that R needs to rely on to run her business. The means to purpose relationship is not unlawful.

(4) In conclusion the duress is not unlawful.

cc) The rescission ground of duress (§ 123 I Alt. 2 BGB) is not given. No other rescission ground is apparent.

b) R cannot rescind her acceptance.

III. Thus, W made an effective offer, which R effectively accepted. R and W concluded a purchase agreement pursuant to § 433 BGB.

Thank you
for your attention!

